

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL	LONGSHOREMEN'S	:	
ASSOCIATION,		:	
	Complainant,	:	
		:	
v.		:	FMC Docket No.: 22-12
GATEWAY TERMINALS, LLC;		:	
CHARLESTON STEVEDORING COMPANY,		:	
LLC; PORTS AMERICA FLORIDA, INC.;		:	
CERES MARINE TERMINALS, INC.; AND SSA		:	
ATLANTIC, LLC.		:	
	Respondents.	:	
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**CONSENT MOTION BY INTERNATIONAL LONGSHOREMEN'S ASSOCIATION
FOR LEAVE
TO FILE AN AMENDED VERIFIED COMPLAINT**

Complainant International Longshoremen's Association (ILA), by and through its undersigned attorneys of record, hereby moves, pursuant to Rule 66 of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.66, for leave from the Presiding Officer in this case to file an Amended Verified Complaint against Respondents, Gateway Terminals, LLC, (Gateway), Charleston Stevedoring Company, LLC, (CSC), Ports America Florida, Inc., (Ports America), SSA Atlantic, LLC, (SSA), and Ceres Marine Terminals, Inc. (Ceres) (collectively, Respondents), which is being submitted to the Secretary of the Commission for filing simultaneously with this motion. All respondents have consented to this motion.

PROCEDURAL POSTURE

The ILA filed its initial Verified Complaint in this matter on April 1, 2022. The Commission then served the notice of filing on April 12, 2022 and an initial order on April 18, 2022. Respondents filed a motion to dismiss the original Verified Complaint in this matter on May 9, 2022. That motion is currently pending and is the only currently pending motion in this proceeding. The ILA has not previously sought to amend its Verified Complaint.

LEGAL STANDARD

Rule 66(a) of the Commission's Rules, 46 C.F.R. § 502.66(a), provides:

Amendments or supplements to any pleading (complaint, Order of Investigation and Hearing, counterclaim, crossclaim, third-party complaint, and answers thereto) will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues. The presiding officer may direct a party to state its case more fully and in more detail by way of amendment.

The Commission's Rules do not specify criteria for permitting or rejecting proposed amended pleadings, but Commission Rule 12 provides that "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Rule 15(a)(2) of the Federal Rules of Civil Procedure provides that the reviewing court "should freely give leave [to amend a pleading] when justice so requires." see *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 02-04, 2006 FMC Lexis 19, at *23 (2006) (granting leave to amend complaint to allow petitioner to further develop its allegations of Shipping Act violations); *MCS Indus. Inc. v. Cosco Shipping Lines Co., Ltd.*, 21-05, 2022 WL 458569 (Feb. 4, 2022) (quoting F.R.C.P. 15(a)(2)) (as a guiding principle, "[u]nder the Federal

Rules, once a responsive pleading is filed, a party may amend its complaint only with the consent of opposing party or by leave of the court and courts ‘should freely give leave when justice so requires.’”).

Respondents have consented to this motion for leave. Federal case law interpreting FRCP Rule 15 holds that once an adverse party has consented to the motion for an amended pleading, leave by the reviewing court must be given as a matter of course. *E.g., Fern v. United States*, 213 F.2d 674 (9th Cir. 1954) (“Once the adverse party has consented to the amendment of a pleading, the court has no control over the matter under Rule 15(a).”); *Williams v. Perdue*, No. C19-0444-JCC, 2020 WL 5996431 (W.D. Wash. Oct. 9, 2020) (same).

ARGUMENT

The ILA’s need to file a Verified Amended Complaint has been necessitated by facts recently revealed within Respondents’ Motion to Dismiss.

When drafting the initial Verified Complaint, the ILA relied on the information available on the Commission’s website to determine that Agreement No. 201293 was currently in effect. The Commission’s website stated, as late as April 1, 2022, that Agreement No. 201293 was filed on March 29, 2019 with an effective date of December 31, 2019. Agreement No. 201293 was (and still is) accessible from the Commission’s website as of the date of this filing, however it is no longer available from the agreements search page, <https://www2.fmc.gov/FMC.Agreements.Web/Public>, and now lists the effective date of the Agreement as December 31, 2099. Accordingly, the ILA was not aware that Agreement No. 201293 had been withdrawn until Respondents filed their Motion to Dismiss.

The Amended Verified Complaint does not add any new respondents and removes all references to the Clayton and Sherman Acts. The Verified Amended Complaint alleges additional facts to establish personal jurisdiction over the respondents, and clarifies the claims under the Shipping Act.

Accordingly, the Verified Amended Complaint does not impermissibly broaden the issues in this case but in fact narrows those issues.

CONCLUSION

For the foregoing reasons, the FMC should grant the ILA's Motion for Leave to file the Amended Verified Complaint with Respondents' consent.

Dated: June 3, 2022
New York, New York

MAZZOLA MARDON, PC

By: /s/John P. Sheridan
John P. Sheridan
Nicholas M. Graziano
26 Broadway, 17th Floor
New York, NY 10004
(212) 425-3240

*Counsel for Petitioner International
Longshoremen's Association*

CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 3rd day of June, 2022.

Matthew Thomas
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
MThomas@BlankRome.com

Keith B. Letourneau
BLANK ROME LLP
717 Texas Avenue, Suite 1400
Houston, Texas 77002
(713) 402-7640
KLetourneau@BlankRome.com

Counsel for Respondents
Gateway Terminals, LLC; Charleston
Stevedoring Company, Ports America
Florida, Inc.; Ceres Marine Terminals,
Inc.; and SSA Atlantic, LLC

Dated: June 3, 2022
New York, New York

/s/Nicholas M. Graziano
Nicholas M. Graziano

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	:	
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FIRST AMENDED VERIFIED COMPLAINT

Complainant, International Longshoremen’s Association, by and through its undersigned counsel, hereby brings this First Amended Verified Complaint against Respondents, Gateway Terminals, LLC; Charleston Stevedoring Company, LLC; Ports America Florida, Inc.; SSA Atlantic, LLC, and Ceres Marine Terminals, Inc., and states as follows:

PARTIES

1. The International Longshoremen’s Association (“ILA”) is a labor organization representing longshore workers, clerks and checkers, maintenance and repair workers, and other workers employed in related crafts along the East and Gulf Coasts of the United States, including the Ports of Savannah, Georgia, and Charleston, South Carolina. The ILA maintains offices at 5000 West Side Avenue, North Bergen, New Jersey 07047.

2. Respondent Gateway Terminals, LLC (“Gateway”) is a Georgia limited liability company with a principal place of business at 1 Greer Road, Suite 1 Rae’s Hall, Garden City,

GA 31408. Gateway is a joint venture established by a cooperative working agreement entered into by Respondents Ports America, Florida, Inc. (“Ports America”); SSA Atlantic, LLC (“SSA”); and Ceres Marine Terminals, Inc. (“Ceres”). The effective date of the cooperative working agreement in Savannah was on or about March 1, 2022.

3. Respondent Charleston Stevedoring Company, LLC (“CSC”) is a Delaware limited liability company with a principal place of business at 2265 Clements Ferry Road, Suite 310B, Charleston, SC 29492. CSC is a joint venture established by a cooperative working agreement entered into by Respondents Ports America, SSA, and Ceres. The effective date of the cooperative working agreement in Charleston was on or about January 1, 2020.

4. Respondent Ports America is a Florida corporation with its principal place of business at 2150 Guy N. Verger Blvd., Tampa, FL 33602.

5. Respondent SSA is a Delaware limited liability company with its principal place of business located at 1131 SW Klickitat Way, c/o Candice M. Woods, Seattle, WA, 98134. SSA also has a place of business located at 107 Southern Blvd, Suite 201, Savannah, GA 31405.

6. Respondent Ceres is a Maryland corporation with its principal place of business located at 565 Marriott Drive, Suite 400, Nashville, TN, 37214. Ceres also has a place of business located at 2 Main St, Savannah, GA 31408.

7. The ILA and its affiliated local unions represent longshore workers, clerks, checkers, and maintenance workers in the Ports of Charleston and Savannah for the purposes of collective bargaining with their employers, including Ports America, Ceres, and SSA, as well as Gateway and CSC.

8. Ports America, Ceres, and SSA were and are parties to various collective bargaining agreements with the ILA and its affiliated local unions in various ports along the East and Gulf Coasts of the United States, including the Ports of Charleston and Savannah.

SUBJECT MATTER JURISDICTION

9. The Commission has subject-matter jurisdiction over the claims in this First Amended Verified Complaint pursuant to 46 U.S.C. § 41301 because it alleges violations of the Shipping Act of 1984, as amended (“Shipping Act”), 46 U.S.C. § 40101, *et seq.*

PERSONAL JURISDICTION OVER RESPONDENTS

10. The Commission has personal jurisdiction over Gateway, CSC, SSA, Ports America, and Ceres in general because they are “marine terminal operators, as defined at 46 U.S.C. § 40102(15), because they operate wharves, warehouses, and other marine terminal facilities, or a combination of the foregoing, in connection with ocean common carriage in various different locations in port cities throughout the United States.

11. The Commission has personal jurisdiction over SSA, Ports America, Ceres, and Gateway in the Port of Savannah specifically, because, prior to the effective date of the cooperative working agreement, SSA, Ports America, and Ceres operated separately as marine terminal operators at Garden City Terminal and Ocean Terminal in Savannah and after the effective date of the cooperative working agreement, SSA, Ports America, and Ceres began to operate jointly as marine terminal operators through Gateway at Garden City Terminal, but also continued to operate separately as marine terminal operators at Ocean Terminal.

12. The Commission has personal jurisdiction over SSA, Ports America, Ceres, and CSC in the Port of Charleston specifically, because, prior to the effective date of the cooperative working agreement SSA, Ports America, and Ceres operated separately as marine terminal

operators at Wando Terminal and North Charleston Terminal and after the effective date of the cooperative working agreement, SSA, Ports America, and Ceres began to operate jointly as marine terminal operators through CSC at those terminals (as well as the newly opened Leatherman Terminal) with respect to containers, but also continued to operate separately as marine terminal operators at those terminals with respect to non-containerized cargo.

13. Thus, at various times relevant to this complaint, Gateway, CSC, SSA, Ports America, and Ceres have all provided, exercised control over, and had the ability to restrict access to terminal facilities in the Ports of Savannah and Charleston.

FACTUAL ALLEGATIONS

14. Marine terminal operations in both the Port of Charleston and the Port of Savannah are jointly conducted by both public port authorities (the South Carolina State Ports Authority and the Georgia Ports Authority respectively) and privately owned marine terminal operators. The port authorities own the marine terminals in those ports and are responsible for the operation of those marine terminals. However, by means of long-term agreements, the port authorities grant control over certain portions of the marine terminals to private marine terminal operators, such as the Respondents.

15. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, the Georgia Ports Authority entered into various agreements with Ceres, SSA, and Ports America that granted them full-time control over the terminal gates and office spaces where stowage and discharge of cargo are planned. In addition, the Georgia Ports Authority also entered into agreements with Ceres, SSA, and Ports America, for any time period that a vessel is at berth, which handed over control of the shipside terminal property and

shipside cranes, rubber-tire gantry cranes, top-lifters, equipment-handlers, and other heavy lift-equipment.

16. Upon information and belief, after the effective date of the cooperative working agreement and/or the completion of the joint venture, the Georgia Ports Authority and Gateway entered into similar agreements giving the same sort of control to Gateway at Garden City terminal, and maintained the same agreements separately with the Respondents individually at Ocean Terminal.

17. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, the South Carolina State Ports Authority entered into various agreements with Ceres, SSA, and Ports America that granted them full-time control over the terminal gates and office spaces where stowage and discharge of cargo are planned. In addition, the South Carolina State Ports Authority also entered into agreements with Ceres, SSA, and Ports America, for any time period that a vessel is at berth, which handed over control of the shipside terminal property and shipside cranes, rubber-tire gantry cranes, top-lifters, equipment-handlers, and other heavy lift-equipment.

18. Upon information and belief, after the effective date of the cooperative working agreement and/or the completion of the joint venture, the South Carolina Ports Authority and CSC entered into similar agreements giving the same control to CSC with respect to containerized cargo at all Charleston terminals, but maintained the same agreements separately with the other Respondents individually with respect to non-containerized cargo.

19. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, in both Savannah and Charleston, SSA, Ports America, and Ceres negotiated with and contracted directly with shippers and carriers, and thus exercised

contributory influence over which carriers called at the Ports. The shippers and carriers were billed directly by SSA, Ports America, and Ceres. And SSA, Ports America, and Ceres were independently and collectively the exclusive providers of essential marine terminal gate and vessel loading and unloading operations at the terminals.

20. After the effective date of the cooperative working agreement and/or the completion of the joint venture, Gateway in Savannah and CSC in Charleston took over the negotiations with shippers and carriers with respect to containerized cargo, but SSA, Ports America, and Ceres continued to negotiate and contract separately with respect to non-containerized cargo in both ports. With respect to containerized cargo, shippers and carriers are billed directly by Gateway and CSC and Gateway and CSC are the exclusive provider of essential marine terminal gate and vessel loading and unloading operations at the terminals.

21. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, by negotiating and contracting directly with the carriers and shippers, SSA, Ports America, and Ceres controlled access to the container terminal facilities in the Ports of Savannah and Charleston. SSA, Ports America, and Ceres were able to exert influence over access to the terminals upon a requirement by the carriers and shippers to pay tariff rates or enter into contracts with them for their marine terminal gate and vessel loading and unloading services.

22. After the effective date of the cooperative working agreement and/or the completion of the joint venture, by negotiating and contracting directly with the carriers and shippers, Gateway and CSC control or exert influence over access to the container terminal facilities in the Ports of Savannah and Charleston. Gateway and CSC are able to condition access to the terminals upon a commitment by the carriers and shippers to pay tariff rates or enter

into contracts with them for their marine terminal gate and vessel loading and unloading services.

23. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, SSA, Ports America, and Ceres operated and controlled the gates at the container terminal facilities in Ports of Savannah and Charleston, where they had the ability to control or exert influence over who entered and exited the facility and deny access to persons who did not have the proper paperwork or licensing or who had not paid their fees either to the Port Authority, or to CSC or Gateway. They checked, inspected, and, if necessary, repaired all cargo that leaves and enters through the gate.

24. After the effective date of the cooperative working agreement and/or the completion of the joint venture, Gateway in Savannah and CSC in Charleston operate and control the gates at the container terminal facilities in each port, where they have ability to control or exert influence over who enters and exits the facility and deny access to persons who do not have the proper paperwork or licensing or who have not paid their fees either to the Port Authority, or to CSC or Gateway.

25. Gateway and CSC check, inspect, and, if necessary, repair all cargo that leaves and enters through the gate.

26. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, SSA, Ports America, and Ceres controlled or exerted influence over access to the container terminal facility in the Port of Savannah by charging carriers a fee for gates services, as well as other services. Access to the terminal was conditioned upon payment of this fee to SSA, Ports America, and Ceres.

27. After the effective date of the cooperative working agreement and/or the completion of the joint venture, Gateway controls or exerts influence over access to the container terminal facility in the Port of Savannah by charging carriers a fee for gates services, as well as other services. Access to the terminal is conditioned upon payment of this fee to Gateway.

28. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, in Charleston, by agreement with the South Carolina Ports Authority, SSA, Ports America, and Ceres had been given control of designated portions of Wando Terminal for warehousing cargo and for stuffing and stripping containers. SSA, Ports America, and Ceres contracted directly with the shipper, and thus SSA, Ports America and Ceres had control over which cargo was stored and warehoused in this area of the facility and could restrict access to shippers and carriers for use of these warehouse facilities.

29. After the effective date of the cooperative working agreement and/or the completion of the joint venture, in Charleston, by agreement with the South Carolina Ports Authority, CSC has been given control of designated portions of Wando Terminal for warehousing cargo and for stuffing and stripping containers. CSC contracts directly with the shipper, and thus it has control over which cargo is stored and warehoused in this area of the facility and can restrict access to shippers and carriers for use of these warehouse facilities.

30. Accordingly, the Commission has jurisdiction over Gateway, CSC, SSA, Ports America, and Ceres because they are marine terminal operators within the meaning of 46 U.S.C. § 40102 (15).

31. The Commission also has jurisdiction over both Gateway and CSC because both entities function as joint venture companies owned and controlled by Ports America, Ceres and SSA, each of which is a marine terminal operator within the meaning of 46 U.S.C. § 40102 (15).

The Proposed Cooperative Working Agreement

32. On March 8, 2019, Ports America, Ceres and SSA submitted a proposed cooperative working agreement, FMC Agreement No. 2019-06783 (“Proposed Agreement”), to the Commission for review pursuant to § 40301(b) of the Act.

33. This Proposed Agreement stated that Ports America, Ceres and SSA operated as “marine terminal operators” in Savannah and Charleston.

34. When filed, the Proposed Agreement envisioned the formation of a joint venture called “NEWCO” that would serve as the sole marine terminal operator for containerized cargo in both Savannah and Charleston.

35. The Proposed Agreement stated that NEWCO would also be operated in Charleston and Savannah as a “marine terminal operator” as defined by the Shipping Act.

36. NEWCO was intended to be a joint venture that would join Ports America, Ceres and SSA into one sole marine terminal operator for containerized cargo in both Ports.

37. According to the Proposed Agreement, NEWCO and the Respondents would collaborate to exchange pricing and logistics information between one another to establish identical or substantially similar rates and charges in Savannah and Charleston.

38. The Proposed Agreement was drafted at the joint behest of the Georgia Ports Authority and South Carolina Ports Authority.

39. Both Ports Authorities wanted marine terminal operations to be consolidated into one provider.

40. The policymakers in South Carolina and Georgia did not want multiple marine terminal operators operating competitively in the same space in both Ports.

41. After receiving a copy of the Proposed Agreement, the ILA filed a Comment with the Secretary of the Commission. A copy of the ILA's Comment is attached hereto as **Exhibit A** and incorporated herein by reference.

42. Within its Comment, the ILA argued that NEWCO would be anticompetitive and trade-restrictive under both the Commission's *per se* rule and the Commission's rule of reason framework.

43. Specifically, the ILA argued as follows: "[T]he creation of Newco limits the carriers' ability to solicit bids on services in the two largest ports in the southeastern region, completely eliminating competition between the terminal operators and forcing the carriers to pay whatever rate Newco will elect to charge them." **Exhibit A**, p. 4.

44. The ILA also argued in its Comment that the Agreement would cause anti-competitive harm because the Agreement "enable[s] Newco to set and negotiate tonnage rates and to negotiate contracts with the ports, labor organizations and third parties, [and accordingly] Newco has been expressly created so that the parties could agree to a price within the relevant market." **Exhibit A**, p. 4-5.

45. After the ILA filed its Comment, the Commission postponed the proposed effective date of the Proposed Agreement until December 31, 2019 while the Commission gathered additional information from the Respondents concerning how NEWCO would perform and operate.

46. While the Proposed Agreement was under review by the Commission, on September 9, 2019, the parties to the Proposed Agreement withdrew it from consideration by the Commission, ostensibly because the parties to the Proposed Agreement mistakenly believed that the Commission lacked personal jurisdiction over the parties.

47. On December 31, 2019, a final version of the Proposed Agreement was published on the Commission's website as Agreement No. 201293, although the Respondents had already indicated their desire to withdraw Agreement No. 201293 from consideration by the Commission.

The Joint Ventures

48. CSC was formed in the state of Delaware on January 29, 2020. As discussed in more detail above, CSC is a joint venture of SSA, Ceres, and Ports America that is now acting as the sole marine terminal operator for containerized cargo in Charleston.

49. Gateway is operated by SSA, Ceres, and Ports America (through a subsidiary holding company, Marine Terminal Corporation – East) as a single entity which is now the only marine terminal operator for containerized cargo in Savannah.

50. Gateway had been originally formed in the State of Georgia on June 20, 1995. Gateway was originally created as a joint limited liability company between Ceres, Carolina Stevedoring Company, Inc., and two corporate arms of Cooper/T. Smith Stevedoring to operate the gatehouse in Savannah.

51. Upon information and belief, Cooper/T. Smith Stevedoring was purchased and acquired by Respondent SSA prior to entering the Proposed Agreement with the other Respondents.

52. Gateway was administratively dissolved by the state of Georgia from July 29, 2005 through June 15, 2009. It maintained its registration from 2009 onward.

53. On March 30, 2021, Gateway updated its registered office address in order to begin marine terminal operations in Savannah, GA, in the same joint venture capacity as originally contemplated for NEWCO in the Proposed Agreement.

54. Upon information and belief, although the Agreement was withdrawn from consideration from the Commission, Gateway and CSC are operating under the same or substantially similar terms as those set forth in the Agreement originally filed with the Commission, except that NEWCO was divided into two entities: CSC in Charleston and Gateway in Savannah.

55. Accordingly, in the following excerpts from the Agreement, NEWCO can effectively be read as either Gateway or CSC, or both entities together.

56. The Agreement, attached hereto and incorporated herein as **Exhibit B**, expressly provides as follows:

The Parties to this Agreement (each a “Party” and more than one collectively the “Parties”) are identified in Appendix A and are marine terminal operators as defined in the Shipping Act of 1984, as amended (the “Shipping Act”), 46 U.S.C. § 40102(14). Each Party operates public wharves, other marine terminal facilities, or a combination of the foregoing in connection with ocean common carriage. This Agreement covers services and activities of the Parties at the Ports.

Agreement, Article 3.

57. The Agreement provides further that:

NEWCO shall provide marine terminal services and conduct container stevedoring, terminal, container freight station, and activities incidental thereto, at the Ports. Specifically, the Parties agree that, during the term of this Agreement, NEWCO will assume responsibility for providing those facilities and services currently provided by the Parties in their individual capacity in the Ports, including marine terminal gate operations and vessel loading and unloading operations, and the operation of equipment and technology related thereto.

NEWCO and the Parties expect to enter into long-term license agreements with each of the Ports for the use of facilities in those Ports. Such agreements will detail the services to be provided by NEWCO within the scope set out above, and include matters ancillary to those services, such as development of systems,

policies and procedures to enhance operational coordination between those facilities and services which will be provided by NEWCO (e.g., marine terminal gate and vessel loading and unloading operations) and those facilities and services which currently are, and will remain, under the control of the Ports (e.g., operation and manning of cranes and container yard areas), in order to provide more efficient and better quality service for users.

Agreement §§ 4.2-4.3.

58. Section 4.4 of the Agreement provides, *inter alia*, that Gateway and CSC will “[e]stablish rates, charges and competitive practices” and may “[n]egotiate and enter into agreements within the scope of NEWCO’s scope with the Ports and/or any other third parties concerning marine terminal facilities and/or services, and/or agreements to provide stevedoring, and other related services, subject to any applicable governmental filing requirements.”

59. Sections 4.5 and 4.6 of the Agreement permit all of the Respondents to exchange pricing and accounting information between and among one another in order to set charges and rates, to hire labor jointly, and to lease space from the Georgia Ports Authority and the South Carolina State Ports Authority.

60. Article 5.3, Discussion and Exchange of Information provides:

In furtherance of the authorities set forth above, the Parties are authorized to meet as appropriate to discuss and exchange information regarding the following subjects as related to NEWCO’s operations at the Ports:

- (a) Joint or independent acquisition and utilization of marketing materials for individual customers and/or groups of customers (conferences, alliances, joint services, carrier networks, ports, and other agreements to which ocean common carriers or ports are parties) (any such entity individually a “Customer” and collectively “Customers”), shippers, beneficial cargo owners, and ocean transportation intermediaries;
- (b) Commercial opportunities regarding Customers. This includes vessel calls and rotations, operational efficiencies,

cost reductions, the changing shipping environment, large ship operations, supply-chain technology, stevedoring, gate, rail and yard operations, warehousing, safety and security, customer service, and new product lines;

- (c) Joint or independent acquisition, utilization, and best practices relating to operating systems and equipment;
- (d) In addition, the Parties are authorized jointly to meet with and exchange information with Customers, shippers, other marine terminal operators, beneficial cargo owners, and ocean transportation intermediaries regarding operational issues and performance criteria at a Port or the Ports, subject to any limitations or filing requirements set forth in the Shipping Act and FMC regulation Agreement, Article 3. . .

Agreement § 5.3 (a)-(d).

61. In approximately March 2022, Gateway began to operate as the sole marine terminal operator in Savannah under the terms the joint venture agreement.

62. In approximately January 2020, CSC began to operate as the sole terminal operator in Charleston under the terms of the joint venture agreement.

63. As contemplated by the Agreement, although the two joint ventures operate under separate names, they are both controlled by Respondents Ports America, SSA, and Ceres.

64. Upon information and belief, the Respondents continue to share information and services together as set forth in Sections 4.5, 4.6 and 5.3 of the Agreement. **Exhibit B.**

65. Upon information and belief, as contemplated by the Agreement, the Respondents establish single rates and charges or substantially similar rates and charges in both Ports.

66. By continuing to set rates and charges and to share information as set forth within the Agreement, the Respondents have effectively created a single marine terminal operator that completely controls rates, charges, and bargaining opportunities in the southeastern region's largest two Ports, Charleston and Savannah.

67. Gateway and CSC are now operating as intended by state policymakers in order to eliminate competition at the marine terminals in Savannah and Charleston.

COUNT ONE
OPERATING UNDER AN INEFFECTIVE AGREEMENT

68. The ILA re-alleges and incorporates by reference paragraphs 1 through 67 as if fully stated herein.

69. Section 40301(b) of the Shipping Act requires a marine terminal operator to file with the Commission any proposed agreement pursuant to which two or more marine terminal operators will discuss rates and fees for services or when two or more marine terminal operators plan to enter into a cooperative working agreement.

70. Section 41102(b) of the Shipping Act prohibits marine terminal operators from operating pursuant to a cooperative working agreement that has not become effective under section 40304, or has been rejected, disapproved, or canceled.

71. 46 C.F.R. § 535.901 of the Commission's Rules and Regulations also prohibits any person from operating under an agreement that has not been filed with the Commission and that has not become effective.

72. Sections 4, 5, and 6 of the Proposed Agreement set forth the terms under which Respondents will share information and other services to determine the rates and fees charged by Gateway and CSC to carriers and customers in the Ports of Savannah, GA and Charleston, SC.

73. Specifically, Section 4.4 of the Proposed Agreement provides that Respondents will "[e]stablish rates, charges and competitive practices" with all entities that it contracts its services to.

74. Article 2 of the Proposed Agreement also provides that the Respondents are entering into a cooperative working agreement for the provision of stevedoring and marine terminal services in the two Ports.

75. Accordingly, the Proposed Agreement is an agreement among marine terminal operators under which the operators will discuss rates and fees for services.

76. The Agreement is also a cooperative working agreement entered into by two or more marine terminal operators.

77. The Agreement was therefore required to be filed with the Commission.

78. However, Respondents withdrew the Proposed Agreement from the Commission's review on September 9, 2019. Accordingly, the Proposed Agreement is not effective pursuant to section 40304.

79. Upon information and belief, Respondents continue to operate and share information amongst one another in the same manner contemplated by the Agreement.

80. Upon information and belief, Respondents, through the information sharing provisions of the Agreement, **Exhibit B**, Section 5.3, work together to set charges and rates in both the Port of Charleston and the Port of Savannah.

81. Upon information and belief, Respondents collaborate together using the information sharing provisions of the Agreement to keep their rates and fees consistent between both of the large Ports.

82. This cooperation prevents true negotiation over the rates and fees for stevedoring and marine terminal operation services in the two largest ports of the Southeastern United States.

83. By operating pursuant to an agreement that was required to be filed under the Shipping Act, but which was withdrawn before it became effective, the Respondents have

individually and collectively violated Section 41102(b) of the Shipping Act and Section 535.901 of the Commission's Rules and Regulations.

COUNT TWO
UNDUE OR UNREASONABLE PREJUDICE OR DISADVANTAGE

84. The ILA re-alleges and incorporates by reference paragraphs 1-83 as if fully stated herein.

85. Section 41106 (2) of the Shipping Act, 46 U.S.C. § 41106 (2), makes it unlawful for a marine terminal operator to impose any undue or unreasonable prejudice or disadvantage with respect to any person.

86. Prior to the Proposed Agreement and the joint ventures in both the Ports of Savannah and Charleston, Ports America, Ceres and SSA previously performed terminal operation and stevedoring services in competition with one another in each of the Ports.

87. As contemplated by the Agreement, Gateway has assumed all of the functions of the once competitors Ports America, SSA and Ceres as sole terminal operator within the Port of Savannah and CSC has assumed all of the functions of the once competitors as sole terminal operator within the Port of Charleston.

88. Ports America, SSA and Ceres have authorized Gateway and CSC to negotiate rates, prices and enter primary and third party contracts, eliminating competition between and among the former competitors in both of the two large ports.

89. Through the joint venture in both ports among the former competing marine terminal operators, Respondents have established a monopoly over marine terminal operations for containerized cargo in Savannah and Charleston.

90. Prior to the institution of the joint venture companies in Savannah and Charleston, common carriers and shippers who needed to ship containers through ports in the southeastern United States had the ability to choose among three competing marine terminal operators in both Savannah and Charleston.

91. After the institution of the joint venture companies, common carriers and shippers who need to ship container through ports in the southeastern United States are forced to deal with either a single marine terminal operator that has a monopoly in Savannah and/or another single marine terminal operator that has a monopoly in Charleston.

92. After the establishment of the joint ventures, shipper and carriers no longer have the ability to negotiate among three competing marine terminal operators, but instead are forced to accept the rates demanded by the monopoly created by the joint ventures in either port.

93. The only way to avoid the rates would be to refuse to utilize the ports of Charleston or Savannah. However, avoiding those ports is simply not commercially feasible for many shippers and carriers who must ship containers through the southeastern United States, given that Savannah and Charleston are the two ports with the greatest cargo capacity by far in the southeastern United States.

94. Therefore, the monopoly in Charleston and Savannah unfairly disadvantages and prejudices those shippers and carriers who must send containers through the southeastern ports when they are compared to those similarly situated shippers and carriers who have the ability to ship containers through ports in the northeastern United States or the Gulf Coast or the West Coast.

95. The monopoly in Charleston and Savannah is the proximate cause of increased costs paid by shippers and carriers who must use ports in the southeastern United States when

compared to the costs paid prior to the institution of the monopoly and when compared to similarly situated shippers and carriers who have the ability to ship containers through more competitive regions.

96. The monopoly in Charleston and Savannah is not justified by any transportation factors. On the contrary, the joint ventures were instituted at the behest of state policymakers for governmental and political reasons.

COUNT THREE REFUSAL TO DEAL AND NEGOTIATE

97. The ILA re-alleges and incorporates by reference paragraphs 1-96 as if fully stated herein.

98. Section 41106 (3) of the Shipping Act, 46 U.S.C. § 41106 (3), makes it unlawful for a marine terminal operator to unreasonably refuse to deal or negotiate with any person.

99. As set forth in more detail above, Gateway, CSC and the other Respondents have entered into an agreement to establish a monopoly over stevedoring and marine terminal operations in the Ports of Savannah and Charleston, completely eliminating competition for such services in the nation's largest southeastern ports.

100. Gateway, CSC and the other Respondents share information and corporate structures in order to agree upon the rates and charges charged to carriers, shippers, and other customers in the two ports.

101. By setting rates and charges without any competition in the relevant market, all negotiations with Gateway or CSC are illusory as there is no competition in the market within the Ports of Savannah or Charleston.

102. Through Respondents' elimination of any competition, carriers are unable to meaningfully negotiate rates and charges with the CSC or Gateway.

103. The carriers and shippers are actually injured by the higher costs that they incur to utilize Respondents' marine terminal operation services in the two ports because of Respondents' monopoly.

COUNT FOUR
REFUSAL TO NEGOTIATE WITH THE ILA AND ITS AFFILIATED LOCALS

104. The ILA re-alleges and incorporates by reference paragraphs 1-103 as if fully stated herein.

105. As stated above, Section 41106(3) of the Shipping Act, 46 U.S.C. § 41106(3), makes it unlawful for a marine terminal operator to unreasonably refuse to negotiate or deal with any person.

106. Prior to the joint ventures, the ILA and its affiliated local unions would negotiate and administer various collective bargaining agreements and side agreements on behalf of their bargaining units with Ports America, SSA, and Ceres on both a collective and individual basis.

107. At the direction of the Georgia Ports Authority and the South Carolina State Ports Authority, Ports America, SSA and Ceres entered into the joint ventures to reduce competition amongst the three competing marine terminal operators in each port.

108. After the establishment of the joint ventures, the ILA and its local unions can no longer meaningfully negotiate and administer collective bargaining terms on behalf of their bargaining units in either Savannah or Charleston. The joint ventures have consistently refused to recognize local agreements, side agreements, customs, and practices with respect to seniority, work hours, manning, and discipline that had been previously agreed to and recognized by SSA, Ports America, and/or Ceres

109. This refusal to negotiate or deal with the ILA and its locals with respect to administering collective bargaining terms on behalf of the bargaining unit members is a proximate result of the change from multiple marine terminal operators to a single marine terminal operator in both of the Ports.

110. This refusal to negotiate or deal with the ILA and its locals with respect to administering collective bargaining terms on behalf of the bargaining unit members has caused injury to bargaining unit members with respect to reduced hours and wages. This refusal has also caused injury to the ILA and its affiliated locals with respect to reduced revenue from dues.

DESIGNATION OF HEARING PLACE

The ILA respectfully requests that any hearing in this matter be considered at the Federal Maritime Commission's offices, located at 800 North Capitol Street, N.W Washington, D.C. 20573, or in light of the ongoing Coronavirus Pandemic, via a video conference platform.

PRAYER FOR RELIEF

WHEREFORE, the ILA demands judgment against the Respondents as follows:

(a) That the Commission enter an order directing the Respondents, severally and jointly, to pay reparations in an amount to be shown that is commensurate with the Respondents' violations of the Shipping Act, 46 U.S.C. § 41102(b), 46 U.S.C. §§ 41106(2) and (3) and in accordance with § 41107(a);

(b) That the Commission enter a declaratory order stating that the anti-competitive harm and trade restrictions realized by the joint ventures create a monopoly in the Ports of Savannah, GA and Charleston, SC;

(c) Granting such other and further relief as the Commission deems just and proper, together with costs and disbursements of this action.

Dated: June 3, 2022

MAZZOLA MARDON, P.C.

By: 

John P. Sheridan
Nicholas M. Graziano
26 Broadway, 17th Floor
New York, New York 10004
Tel. (212) 425-3240
jsheridan@mmmpe.com

*Counsel to Plaintiff, International
Longshoremen's Association*

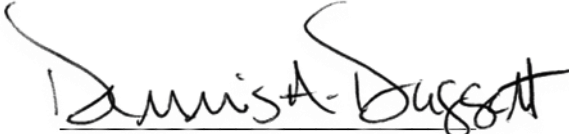
**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	FMC Docket No.: 22-12
	:	
v.	:	
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
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VERIFICATION

I, Dennis A. Daggett, am Executive Vice President of the International Longshoremen’s Association (“ILA”), located at 5000 West Side Avenue, North Bergen, NJ 07047. I have read the foregoing Amended Verified Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is, according to my knowledge, information, and belief, true and correct.

Executed on: June 3, 2022.


Dennis A. Daggett
Executive Vice President, ILA